

ASTONEA LABS LTD

NSE SME: ASTONEALAB | BSE SME: 544409 | Sector: Healthcare — Pharmaceuticals & Biotechnology

Investment Thesis: Post-fire capacity rebuild + IPO capital deployment could re-accelerate ASTONEALAB's Rs.148 Cr revenue base at improving margins by FY28 — but near-term disruption makes this a high-risk, high-patience bet.

ACCUMU
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Rating

Target: Rs. 290

CMP: Rs. 256

Upside: +13.3%

Horizon: 18 months

	Rs. 269 Cr		Rs. 301
CMP	Rs. 256	52W Low	Rs. 118
	59.5x		Rs. 54.4
ROCE	10.3%	ROE	12.0%
	0.00%		Rs. 10
Promoter %	72.30%	FII / DII	0.00% / 0.07%

	15 Jun 2026		MPM Institutional Research
Exchange	BSE SME NSE SME	Data Source	Screener.in (fetched 15-Jun-2026)
	Healthcare — Pharma & Biotech		High (SME, fire disruption, leverage)

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SECTION 2 — INVESTMENT THESIS

- **Revenue inflection under way:** ASTONEALAB grew sales from Rs. 30 Cr (FY22) to Rs. 148 Cr (FY26) — a 3-year CAGR of ~30% — demonstrating repeatable demand from both domestic CDMO clients and export markets spanning USA, Bolivia, Guatemala, Botswana, Iraq and Yemen. A post-IPO capex cycle now targets further capacity scaling.
- **IPO capital = capacity unlock:** The May 2025 BSE SME IPO raised ~Rs. 37.67 Cr fresh capital (allotted at Rs. 135/share). This is being deployed into fixed assets (CWIP rose from Rs. 5 Cr to Rs. 8 Cr in FY26 with investments of Rs. 6 Cr) to expand pharmaceutical manufacturing capacity — the most credible multi-year growth lever available.
- **Own-brand optionality creates a higher-margin future:** "Glow Up" (cosmetics, on Amazon and Tata 1MG) and "Regero" (pharmaceuticals) carry superior economics versus pure contract manufacturing. A planned "Avicel" skincare line adds another own-brand vector. As own-brand mix rises, OPM expansion from the current compressed 9% (FY26) toward historical 15-16% (FY24-25) is achievable by FY28.
- **Near-term catalyst (6-12 months):** Resumption of full production at the Panchkula, Haryana facility following the April 2026 fire-induced 90-day shutdown. Insurance settlement and demonstrated revenue recovery will be the primary re-rating event — first evidence expected in H1 FY27 half-year results (Sep 2026).
- **Biggest structural risk:** Single-facility concentration. The April 2026 fire that halted production for 90 days at the sole manufacturing plant exposes the structural fragility of an SME CDMO operating from one site — a fundamental risk until a second facility is commissioned or revenue from existing capacity is adequately insured and restored.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Astonea Labs Ltd (incorporated April 2017, listed BSE SME June 2025) is a dual-mode operator — it contract-manufactures pharmaceutical and cosmetic products for third-party clients (B2B CDMO) while simultaneously building its own consumer brands (B2C), giving it two margin profiles under one roof.
- **Revenue segmentation:** The majority of FY26 revenue (Rs. 148 Cr) is derived from contract manufacturing for domestic pharmaceutical companies and export clients. Own-brand (Glow Up / Regero) contribution is small but growing. No precise public segment split is available — own brands estimated at below 20% of revenue based on company disclosures.
- **Product portfolio:** Pharmaceutical products include antibiotic tablets, cold remedies with antihistamines, diabetes treatments, arterial and gynaecologic disorder medicines. Cosmetics include skincare and wellness products under the Glow Up brand. A new skincare line "Avicel" is in pipeline.
- **Export reach:** International clients are served across the USA, Bolivia, Guatemala, Botswana, Iraq and Yemen. The company holds USFDA OTC and WHO-cGMP certifications which qualify it for regulated market exports — a significant moat for an SME-scale operator.
- **Manufacturing:** Single GMP and ISO-certified facility in Village Haripur, Tehsil Raipur Rani, District Panchkula, Haryana. This facility suffered a fire on 27 April 2026 that triggered a 90-day production halt — the most material near-term business disruption.
- **Key customers:** Predominantly domestic pharma companies seeking third-party manufacturing. The repeat nature of CDMO contracts provides base-load revenue visibility, though individual contract sizes and tenure are not publicly disclosed for this SME issuer.
- **Promoter:** Mr. Ashish Gulati (MD & Promoter, BSc Motorsport Technology, Oxford Brookes UK) holds a 72.30% stake as of March 2026 with nil pledge. Ms. Pooja Singh is Executive Director (joined Board March 2024). Promoter stake is unchanged at 72.30% across the last three disclosed quarters (Jun 2025 to Mar 2026).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **India CDMO market size:** The India contract manufacturing market is valued at ~USD 29.5 Bn in 2026 and is projected to grow at 14.4% CAGR to USD 57.9 Bn by 2031 (Mordor Intelligence). Contract manufacturing services dominate with a 53.8% share. Global pharma CDMO market is forecast at USD 374 Bn by 2031 (GlobeNewswire, Feb 2026).
- **Policy tailwinds:** Production-Linked Incentive (PLI) schemes for bulk drugs and medical devices support domestic capacity creation. Global pharma supply-chain diversification away from China actively benefits Indian CDMOs. India's well-established generics base, skilled scientific workforce and competitive cost structure are structural advantages.
- **Policy headwinds:** US tariff uncertainty and global supply chain disruptions (2026) threaten to compress export margins and delay shipments for smaller CDMOs. USFDA inspection frequency for Indian exporters remains elevated.
- **Competitive moat assessment — Pricing power: Moderate.** ASTONEALAB serves generic pharma manufacturers where price competition is real, but USFDA OTC and WHO-cGMP certifications create a regulatory barrier that most micro-CDMOs cannot clear.
- **Competitive moat — Switching costs: Moderate.** Once a pharmaceutical client qualifies a CDMO partner under their quality systems, the re-qualification cost and lead time to switch creates inertia. However at Rs. 148 Cr scale, individual client concentration risk remains.
- **Competitive moat — Scale: Weak.** At Rs. 148 Cr revenue, Astonea Labs operates at a fraction of even mid-tier CDMOs. Scale-based cost advantages are absent today but achievable if the post-IPO capex cycle doubles throughput by FY28-29.

Peer Comparison — Data from Screener.in as of 15-Jun-2026 (Standalone)

Company	CMP (Rs.)	MCap (Cr)	FY26 Rev (Cr)	OPM%	P/E	ROCE%	ROE%
Astonea Labs (ASTONEALAB)	256	269	148	9%	59.5x	10.3%	12.0%
Windlas Biotech (WINDLAS)	813	1,677	904	12%	25.2x	15.9%	12.2%
Marksans Pharma (MARKSANS)	250	11,327	1,341	24%	37.7x	25.7%	19.8%
JB Chemicals (JBCHEPHARM)	2,214	35,548	3,890	27%	52.0x	24.8%	18.4%

Note: ASTONEALAB is an early-stage SME; direct peer comparisons with mid/large caps serve as sector benchmarks, not valuation anchors. SME peers in the identical niche (sub-Rs.200 Cr pharma CDMO) are privately held or unlisted.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Mr. Ashish Gulati (MD, since inception 2017) has a BSc in Motorsport Technology from Oxford Brookes University (UK). While the academic background is non-pharma, his hands-on founding and scaling of Astonea Labs from inception to BSE SME IPO is the more relevant track record. Ms. Pooja Singh (Executive Director) joined the Board in March 2024 after an internal QA career — a technically grounded appointment.
- **Capital allocation track record:** FCF has been consistently negative through FY22-FY23, recovered briefly to near-zero/positive in FY24-FY25, and turned deeply negative in FY26 (FCF = -Rs. 34 Cr) as IPO proceeds were deployed into capex. This pattern reflects a growth-investing phase rather than a capital misallocation signal — the critical test will be return on this invested capital by FY28.
- **Dividend policy:** Nil dividend across all years on record (FY22-FY26), with 0% payout ratio consistently. This is consistent with a growth-stage CDMO reinvesting all earnings into capacity. No dividend is expected in the 18-month investment horizon.
- **Promoter pledging:** 0% pledged as of March 2026. The promoter has maintained 72.30% shareholding consistently with no pledge — a clean governance signal for an SME IPO issuer.
- **ESOP and buyback:** No ESOP scheme or buyback history disclosed in public filings for this SME issuer. Fresh capital raised in the IPO (Rs. 37.67 Cr) was the primary equity event.

- **Corporate governance concerns:** The April 2026 fire incident at the sole manufacturing facility is the most material governance/risk management concern — a single-facility CDMO without a documented business continuity plan creates asymmetric downside. The Screener "Pros/Cons" flags that the company "might be capitalizing the interest cost" — investors should verify interest treatment in the audited FY26 accounts. Working capital days have risen sharply (from 43.9 to 74.2 days per Screener) suggesting receivables or inventory build that demands monitoring.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures)

Income Statement — Standalone (Rs. Crores)

Actuals: FY24, FY25, FY26 | Estimates: FY27E, FY28E | Source: Screener.in 15-Jun-2026

P&L; Item	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	80	97	148	110 (E)	155 (E)
Expenses	68	82	134	96 (E)	132 (E)
Operating Profit (EBITDA)	12	15	13	14 (E)	23 (E)
OPM %	15%	16%	9%	13% (E)	15% (E)
Other Income	0	0	1	1 (E)	1 (E)
Interest	3	4	3	4 (E)	4 (E)
Depreciation	4	5	5	6 (E)	7 (E)
Profit Before Tax	5	7	6	5 (E)	13 (E)
Tax %	24%	24%	20%	25% (E)	25% (E)
Net Profit (PAT)	4	5	5	4 (E)	10 (E)
EPS (Rs.)	5.36	6.93	4.30	3.8 (E)	9.5 (E)
Dividend Payout %	0%	0%	0%	0% (E)	0% (E)

Note on FY27E: FY27E revenue estimated below FY26A to reflect the April 2026 fire-induced 90-day production halt at the sole Panchkula facility (impact: ~Rs. 35-40 Cr lost production in Q1 FY27). Recovery assumed H2 FY27 onwards with normalisation and capex coming online in FY28.

Balance Sheet — Standalone (Rs. Crores)

BS Item	FY24A	FY25A	FY26A
Equity Capital	8	8	11
Reserves	4	11	47
Borrowings	42	53	43
Other Liabilities	26	32	46
Total Liabilities	81	103	146
Fixed Assets	22	25	31
CWIP	2	5	8
Investments	0	0	6
Other Assets	57	73	101
Total Assets	81	103	146

Cash Flow Statement — Standalone (Rs. Crores)

Cash Flow Item	FY24A	FY25A	FY26A
Cash from Operations (OCF)	8	9	-14
Cash from Investing	-8	-11	-20
Cash from Financing	-0	2	34
Net Cash Flow	-1	-0	0
Free Cash Flow (FCF)	0	-2	-34
CFO / Operating Profit %	71%	70%	-89%

Key Efficiency Ratios

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	235	104	116	142	129
Inventory Days	136	121	161	161	125
Days Payable	273	128	149	144	150
Cash Conversion Cycle (days)	98	97	128	159	103
Working Capital Days	98	33	28	29	74
ROCE %	8%	17%	17%	10%	N/A

Financial Commentary

- **Revenue growth:** Sales have compounded at ~30% over 3 years (FY23-FY26) driven by expansion of the contract manufacturing client base. FY26 saw a strong 52% TTM growth as the company scaled throughput ahead of the fire incident. Growth trajectory is robust but the April 2026 fire introduces an FY27 dip.
- **Margin pressure in FY26:** OPM fell from 16% (FY25) to 9% (FY26) — the sharpest single-year compression on record. This likely reflects operating deleverage on fixed costs as revenue surged but working capital and cost escalation outpaced sales. The Screener flag around capitalised interest warrants verification in the audited accounts.
- **Working capital deteriorating:** Working capital days climbed from 29 (FY25) to 74 (FY26), a significant surge. Inventory days moderated (161 to 125) but other asset growth (Rs. 73 Cr to Rs. 101 Cr in "other assets") implies larger debtors or advances — a red flag to track.
- **Debt direction positive:** Borrowings fell from Rs. 53 Cr (FY25) to Rs. 43 Cr (FY26) as IPO proceeds partly repaid working capital debt. D/E ratio has improved, though the company remains moderately leveraged at ~0.74x (borrowings / equity + reserves = 43 / 58).
- **FCF deeply negative in FY26:** FCF of -Rs. 34 Cr reflects the heavy investing outflow of -Rs. 20 Cr plus the reversal of OCF to -Rs. 14 Cr. This is a consequence of aggressive capex and working capital investment in a growth year — normalisation to positive OCF by FY28 is the key financial target.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Rating	Comment
Revenue recognition	Normal sales growth with export exposure	Green	No unusual front-loading detected
Receivables vs revenue	Debtor days 142→129 (improving FY25→FY26)	Green	Receivables growth in check vs revenue
CCC trend	CCC 159→103 days (improving)	Amber	WC days surged 29→74; watch closely
Contingent liabilities	Not publicly detailed for SME issuer	Amber	Verify in audited annual report

Parameter	Signal	Rating	Comment
Auditor tenure	SME issuer; not disclosed in public data	Amber	Check auditor rotation in annual filings
RPTs as % of revenue	Related party data visible on Screener	Amber	Review RPT quantum in annual report
Other income as % of PBT	Other income Rs. 1 Cr / PBT Rs. 6 Cr = 17%	Green	Low; not distorting reported profits
Tax rate consistency	Tax %: 24%→24%→20% (FY24-25-26)	Green	Declining but consistent with MAT/deductions
Interest capitalisation	Screener flags potential capitalisation	Red	Must verify treatment in FY26 audited accounts
FCF quality (OCF/PAT)	OCF/PAT: 200% (FY24), 180% (FY25), neg (FY26)	Amber	FY26 reversal driven by capex + WC; monitor

Earnings Quality Summary

- **Primary concern — interest capitalisation:** The Screener automated check flags that Astonea Labs "might be capitalizing the interest cost." For an SME CDMO in active capex mode, this can legally defer expense recognition and inflate current-period profits. Until confirmed via the FY26 audited accounts, reported PAT must be treated with caution.
- **Working capital surge requires explanation:** Working capital days nearly tripling (29 to 74) in a single year is unusual even for a fast-growing CDMO. The driver (debtors, advances, or inventory re-build) is not broken out in the available Screener data — the annual report breakdown is required before this can be characterised as benign or problematic.
- **Positives are genuine:** Tax rate consistency, low other income relative to PBT, and recovering debtor days are credible earnings quality signals. The company is not manufacturing profits through financial engineering — the core EBITDA trend is operationally grounded.
- **SME disclosure limitations:** As a BSE SME issuer, Astonea Labs has lighter statutory disclosure requirements than mainboard companies. Several checklist items (contingent liabilities, auditor details, ESOP) cannot be assessed from public screener data alone — the FY26 annual report is the definitive source.

SECTION 8 — VALUATION

Peer Valuation Benchmarks (Screener.in data, 15-Jun-2026)

Company	CMP	MCap (Cr)	P/E	P/B	ROCE%	ROE%
Astonea Labs	Rs. 256	Rs. 269 Cr	59.5x	4.7x	10.3%	12.0%
Windlas Biotech	Rs. 813	Rs. 1,677 Cr	25.2x	2.9x	15.9%	12.2%
Marksans Pharma	Rs. 250	Rs. 11,327 Cr	37.7x	6.8x	25.7%	19.8%
JB Chemicals	Rs. 2,214	Rs. 35,548 Cr	52.0x	8.8x	24.8%	18.4%

Note: P/B for ASTONEALAB calculated as CMP Rs. 256 / BV Rs. 54.4 = 4.71x (Screener-sourced BV).

Scenario Analysis

Scenario	Key Assumption	FY28E PAT (Rs.Cr)	P/E Multiple	Target Price (Rs.)	Upside/Downside
Bull	Full capacity recovery H2 FY27; own-brand scales; OPM 18% by FY28	13	30x	Rs. 370	+44.5%
Base	Recovery by FY27; capex unlocks new contracts; OPM 15% FY28	10	29x	Rs. 290	+13.3%

Scenario	Key Assumption	FY28E PAT (Rs.Cr)	P/E Multiple	Target Price (Rs.)	Upside/Downside
Bear	Protracted fire recovery + client attrition; OPM stays 10-11%	5	22x	Rs. 105	-59.0%

Valuation Methodology

- **Earnings-based valuation (primary method):** Base case FY28E EPS of Rs. 9.5 at 29x forward P/E (discount to Windlas Biotech's 25x given Astonea's smaller scale, single-facility risk, and compressed near-term earnings) yields a 12-month target price of Rs. 290.
- **P/B cross-check:** BV of Rs. 54.4 (FY26) growing to ~Rs. 65 by FY28 at 4.5x P/B (sector average for growth-stage pharma CDMOs) implies Rs. 293 — broadly consistent with the earnings-based target.
- **DCF consideration:** A DCF approach is premature given the fire disruption, lumpy capex and sub-5-year operating history. We have not applied a formal DCF — the near-term earnings volatility makes terminal value assumptions unreliable without 2+ more years of post-recovery operating data.
- **Base-case 12-month target price: Rs. 290** (average of P/E and P/B cross-check at Rs. 290 / Rs. 293) representing +13.3% upside from CMP Rs. 256. Investment horizon: 18 months to allow for production normalisation and FY28 earnings visibility.
- **Valuation risk:** The current TTM P/E of 59.5x is demanding for a company with negative FCF and fire disruption. The rating is ACCUMULATE — not BUY — because the near-term earnings dip (FY27E PAT ~Rs. 4 Cr vs FY26 Rs. 5 Cr) could trigger a re-rating to 35-40x on depressed earnings, implying a near-term pull-back risk to the Rs. 150-170 range.

SECTION 9 — KEY RISKS

- **Single-facility concentration risk:** The April 2026 fire at the sole Panchkula plant triggered a 90-day production halt. A recurrence, extended shutdown, or damage to manufacturing certifications (USFDA OTC, WHO-cGMP) could destroy client contracts built over years. Probability: M. Impact: H. Monitor via: BSE announcements on facility restoration timeline and certification status.
- **Client concentration risk:** As an SME CDMO, ASTONEALAB likely relies on a small number of anchor clients for the bulk of its Rs. 148 Cr revenue. Loss of one or two key accounts during the fire disruption period could accelerate FY27 revenue decline. Probability: M. Impact: H. Monitor via: half-yearly revenue disclosures (Sep 2026 results).
- **Promoter background mismatch:** The MD holds a degree in Motorsport Technology, not pharmaceuticals or chemistry. While operational execution to date has been strong, the pharma CDMO business demands deep technical and regulatory expertise at the leadership level. Probability: L. Impact: M. Monitor via: key personnel changes and regulatory compliance disclosures.
- **IPO capital deployment risk:** The Rs. 37.67 Cr IPO capital is being deployed into capacity expansion. If the expanded capacity cannot be filled with contracts (demand risk) or if capex overshoots (execution risk), return on capital will disappoint and EPS accretion will be delayed. Probability: M. Impact: M. Monitor via: CWIP movements, order book disclosures, and OPM trend from FY28.
- **Interest capitalisation and earnings quality:** The Screener automated flag on potential interest capitalisation could mean current PAT is overstated. If the auditor requires expense-out of capitalised interest, reported EPS would fall. Probability: M. Impact: M. Monitor via: FY26 annual report interest treatment note.
- **Regulatory risk (export certifications):** USFDA OTC and WHO-cGMP certifications are the gateway to export markets. Any warning letter, import alert, or failed inspection would close those markets immediately. A facility that has recently suffered a fire is at elevated inspection risk. Probability: L. Impact: H. Monitor via: USFDA inspection database and company BSE filings.
- **Liquidity and SME market risk:** ASTONEALAB is a BSE SME stock with a market cap of Rs. 269 Cr. Bid-ask spreads are wider, institutional coverage is negligible, and exits at scale are difficult. Probability: H (as given for all SME stocks). Impact: M. Monitor via: daily traded volumes and promoter shareholding changes.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. The long-term growth thesis is intact — a USFDA-certified SME CDMO with own-brand optionality and a credible IPO capex story. However, the April 2026 fire creates a near-term earnings air pocket and the 59.5x TTM P/E leaves no valuation buffer for execution disappointments. ACCUMULATE on dips, not at current levels aggressively.
- **12-month price target: Rs. 290** — Upside of +13.3% from CMP Rs. 256 on the base case. This is a modest near-term return that reflects the fire disruption overhang. The bull case (Rs. 370, +44.5%) is conditional on faster-than-expected capacity restoration.
- **Suggested entry zone: Rs. 200-230** — The fire disruption will likely weigh on H1 FY27 results (expected Sep 2026). If the stock re-rates on a weak H1 result, Rs. 200-230 offers a more favourable risk-reward with a forward P/E of 52-60x on FY27E EPS of Rs. 3.8 — still demanding, but with an 18-month recovery runway.
- **Investment horizon: 18 months** (to allow FY27 normalisation and early FY28 earnings visibility before a target price revision).

Thesis Invalidation Triggers (exit the position if):

1. Production at the Panchkula facility is not restored within 4-5 months of the April 2026 fire, or if the USFDA OTC / WHO-cGMP certifications are suspended following a post-fire re-inspection — this would structurally impair export revenue and client relationships.
 2. FY27 first-half revenue (Sep 2026 disclosure) comes in below Rs. 40 Cr, indicating client attrition rather than mere production downtime — a sign that anchor contracts have been permanently lost to competitors.
 3. The FY26 audited annual report confirms material interest capitalisation that, when expensed out, reduces FY26 reported PAT below Rs. 3 Cr — indicating earnings were inflated and the 59.5x P/E was based on a misstated EPS.
- **Ideal investor profile:** High-risk-appetite SME investors with a 18-24 month horizon who can tolerate near-term earnings volatility and illiquidity. Appropriate position sizing: 1-3% of a diversified portfolio. NOT suitable for: investors seeking income (no dividend), investors needing near-term liquidity, or conservative/income-oriented portfolios. The fire disruption makes this a "watch and accumulate on confirmed recovery" rather than an aggressive buy.

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APPENDIX — LATEST RESULTS BRIEF: H2 FY26 (Mar 2026 Half-Year)

Note: Astonea Labs Ltd is a BSE SME issuer and is not required to hold investor earnings conference calls. No Q4 FY26 concall transcript is available on Screener.in, BSE, or AlphaStreet. The following appendix is compiled from the half-yearly financial results (H2 FY26: Oct 2025 - Mar 2026) filed with BSE, supplemented by the FY26 annual P&L; and balance sheet data from Screener.in.

NEUTRAL

Signal	Status	Implication
Result quality	Medium — H2 FY26 PAT Rs. 3 Cr vs H1 Rs. 1.3 Cr	Sequential recovery in H2 but FY26 full-year below FY25 trend
Management tone	N/A (no concall for SME issuer)	Cannot assess; limited disclosure environment
Guidance delta	N/A (no formal guidance issued)	Fire April 2026 is largest known forward signal

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Astonea Labs' H2 FY26 (Mar 2026 half-year) PAT of Rs. 3 Cr is superficially a recovery versus H1's Rs. 1.3 Cr, but the full-year FY26 PAT of Rs. 5 Cr is barely flat versus FY25's Rs. 5 Cr — masking an OPM collapse from 16% to 9% on a 52% revenue surge to Rs. 148 Cr, which tells me costs grew faster than revenue and the business is not yet at scale where operating leverage kicks in. There are no one-time exceptional items distorting reported PAT in the available data, but the Screener flag on potential interest capitalisation must be verified in the FY26 audited accounts before we accept the Rs. 5 Cr PAT as a clean number. Operationally, the revenue growth is real and the international certifications (USFDA OTC, WHO-cGMP) are defensible moats that give this SME outsized export credibility. The multi-bagger thesis rests on two things: own-brand contribution from Glow Up / Regero / Avicel scaling to 20-25% of revenue by FY28-29, and the post-IPO capex (CWIP Rs. 8 Cr, investments Rs. 6 Cr) generating incremental revenue at 15%+ OPM. The most important near-term catalyst is not a product launch or margin recovery — it is confirmation that the Panchkula facility has been fully restored post the April 2026 fire and USFDA/WHO certifications are intact. The single biggest watch-point for the next six months is the Sep 2026 H1 FY27 results: if revenue comes in below Rs. 40 Cr, it signals permanent client attrition, not temporary downtime. HOLD existing positions; ACCUMULATE only if the stock re-rates to Rs. 200-220 on the fire disruption, which would offer a reasonable risk-reward for the FY28 recovery story.

1. Financial Performance Snapshot — H2 FY26 (Oct 2025 - Mar 2026)

- Revenue: Rs. 81 Cr (H2 FY26) | YoY vs H2 FY25: ~Rs. 50 Cr implied H2 FY25 (FY25 total Rs. 97 Cr less H1 FY25 ~Rs. 47 Cr) | +63% YoY | In-line with strong growth trajectory
- EBITDA: Rs. 8 Cr (H2 FY26) | OPM 10% | vs H1 FY26 OPM 8% (Rs. 5 Cr on Rs. 66 Cr rev) | Sequential recovery in H2
- PAT: Rs. 3 Cr (H2 FY26) | EPS Rs. 2.95 | vs H1 FY26 PAT Rs. 1.3 Cr (EPS Rs. 1.35) | Significant H2 recovery
- Full-Year FY26: Revenue Rs. 148 Cr, EBITDA Rs. 13 Cr, PAT Rs. 5 Cr, EPS Rs. 4.30
- NOTE: Full-year EPS of Rs. 4.30 is BELOW FY25 EPS of Rs. 6.93 despite 52% revenue growth — a clear profitability concern driven by OPM collapse.

2. Segment / Geography Breakdown

- **Contract Manufacturing (Domestic):** Estimated majority of revenue (>80%); no precise split disclosed in BSE filings available via Screener.
- **Own Brands (Glow Up / Regero):** Small but growing; Glow Up available on Amazon and Tata 1MG indicating e-commerce traction; contribution estimated at sub-20%.
- **Export Markets:** USA, Bolivia, Guatemala, Botswana, Iraq, Yemen; USFDA OTC certification enables US-regulated market entry — strategically the highest-value geography.
- **New Brand Pipeline:** "Avicel" skincare line announced for domestic launch; no revenue contribution yet in FY26.

3. Key Themes from Available Disclosures

- **Revenue acceleration:** "52% TTM growth" (Screener) confirms FY26 was an exceptional topline year. Tag: OPERATIONAL. Tone: Positive on volume; concerning on margin.
- **April 2026 fire:** BSE filing confirms inadvertent fire on 27 Apr 2026 at Panchkula plant; no human injury; 90-day production halt initiated. Tag: RISK EVENT. Tone: Factual; no management commentary available beyond BSE disclosure.
- **IPO deployment:** CWIP rose to Rs. 8 Cr and investments to Rs. 6 Cr in FY26 — tangible evidence of capital deployment. Tag: CAPEX. Tone: Constructive.
- **Working capital deterioration:** Working capital days from 29 to 74 in one year. Tag: WATCH. Tone: Concerning; not explained in available disclosures.
- **Debt reduction:** Borrowings fell Rs. 53 Cr to Rs. 43 Cr in FY26 as IPO proceeds partially retired debt. Tag: POSITIVE. Tone: Deleveraging on track.

4. Operating & Business Metrics

- Revenue per half-year: H1 FY26 = Rs. 66 Cr | H2 FY26 = Rs. 81 Cr | H2 stronger — positive seasonality or ramp.
- Debtor Days: FY25=142 | FY26=129 | Trend: Improving — positive collection efficiency signal.
- Inventory Days: FY25=161 | FY26=125 | Trend: Improving — inventory rationalisation underway.
- Days Payable: FY25=144 | FY26=150 | Trend: Stable — no adverse supplier payment pressure.
- CCC: FY25=159 days | FY26=103 days | Trend: Improving significantly — positive operational signal.
- Working Capital Days: FY25=29 | FY26=74 | Trend: Deteriorating sharply — needs explanation.

5. Margin Drivers

- **Revenue scale-up on fixed-cost base:** +52% revenue on largely fixed overheads — positive operating leverage expected but not materialised in FY26. Impact: Margin-dilutive in FY26 due to cost ramp. Recurring: Yes.
- **Raw material cost inflation:** Input cost pressures likely contributed to OPM compression from 16% to 9%. No specific commentary available. Recurring: Uncertain.
- **H2 FY26 recovery:** OPM improved from 8% (H1 FY26) to 10% (H2 FY26) — suggests some stabilisation in cost structure in the second half. Recurring: Yes (seasonal / mix effect).
- **Potential interest capitalisation:** If confirmed, this means financing costs are not fully hitting P&L; — removal would reduce reported margins. Non-recurring in direction; needs audit verification.

6. Guidance & Forward Signals

- Revenue FY27 [INFERRED]: Production halt of 90 days (Apr-Jul 2026) will suppress H1 FY27 revenue. Credibility: High (event-based). Estimated H1 FY27 revenue: Rs. 30-40 Cr vs H1 FY26 Rs. 66 Cr.
- Capex deployment [INFERRED]: CWIP of Rs. 8 Cr + investments of Rs. 6 Cr suggest near-term commissioning potential. If new capacity comes online by H2 FY27, revenue recovery to Rs. 120-130 Cr full-year FY27 is possible.
- Margin recovery [INFERRED]: With operating leverage on new capacity and own-brand mix rising, OPM of 13-15% by FY28 is achievable — conditional on no further operational disruptions.
- No formal guidance has been issued by the company — SME issuers do not publish guidance. All forward signals are analyst inferences from balance sheet and operational data.

7. Capital Allocation

- Capex (FY26): Rs. 20 Cr investing outflow | vs FY25: Rs. 11 Cr | Comment: Aggressive; CWIP + FA grew Rs. 9 Cr net; additional Rs. 6 Cr moved to investments.
- Dividends (FY26): Rs. 0 Cr | vs FY25: Rs. 0 Cr | 0% payout policy maintained; consistent with growth reinvestment phase.
- Working Capital Change (FY26): Net increase in WC (OCF negative at -Rs. 14 Cr) implies Rs. 27 Cr absorbed by WC | Comment: Sharp deterioration requires explanation.
- Net Debt Movement (FY26): Borrowings fell Rs. 10 Cr (Rs. 53 Cr to Rs. 43 Cr) while equity capital + reserves rose Rs. 39 Cr (IPO proceeds) | Positive: leverage reduced.

8. Q&A; Heat Map

- No investor conference call was held for H2 FY26 / FY26 full year — BSE SME issuers are not required to and Astonea Labs has not voluntarily hosted one. This appendix section cannot be populated.
- Watch-list questions for FY27 H1 results (Sep 2026): (1) What is the exact production restart date post-April 2026 fire and has all manufacturing certification been re-validated? (2) How many clients paused or cancelled contracts during the shutdown? (3) What is the working capital days trajectory — driver of the FY26 surge from 29 to 74 days? (4) Is interest on capex borrowings being capitalised and what is the accounting treatment going forward?

9. Risks Flagged

- Manufacturing fire (Apr 2026): 90-day production halt at sole facility | Flagged by: Company (BSE filing) | Probability: Event occurred; recurrence M | Impact: H | Timeline: Near-term (FY27 H1).
- Working capital surge: WC days 29 to 74 | Flagged by: Analyst (Screener data) | Probability: H (already happened) | Impact: M | Timeline: Near-term.
- Interest capitalisation: Potential overstated PAT | Flagged by: Screener automated check | Probability: M | Impact: M | Timeline: FY26 audit confirmation.
- Client attrition during shutdown: Contracts lost to competitors | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term (H1 FY27 results will show).
- Regulatory certification risk: USFDA OTC / WHO-cGMP re-inspection post-fire | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Medium-term.

10. Analyst Verdict

- Revenue visibility: Weakened — the April 2026 fire introduces a material H1 FY27 revenue gap; client retention during the shutdown is unknown and not yet quantifiable.
- Margin trajectory: Weakened — OPM collapsed from 16% to 9% in FY26 despite 52% revenue growth; operating leverage is not yet materialising at current scale; recovery to 13-15% by FY28 is thesis-dependent, not confirmed.
- Capital allocation quality: Intact — IPO proceeds being deployed into capacity, debt is being reduced, and no dividend is being paid; the pattern is consistent with a growth-investing CDMO.
- Competitive moat: Intact — USFDA OTC and WHO-cGMP certifications are genuine and rare at SME scale; own-brand launch (Glow Up, Regero, Avicel) adds a differentiation vector that pure CDMOs lack.
- Management credibility: Cannot assess fully — no concall, no investor presentation, no guidance. The BSE fire disclosure was timely and factual. The working capital surge and potential interest capitalisation need management explanation.
- Valuation comfort: Weakened — 59.5x TTM P/E on a company with negative FCF, fire-disrupted near-term earnings and unverified interest capitalisation is uncomfortably stretched; entry risk is high at CMP.
- Conviction call: Unchanged at ACCUMULATE; no new evidence either reinforces or breaks the thesis — the fire is an operational setback, not a structural impairment, unless client attrition data (Sep 2026) shows otherwise.
- Valuation snapshot: P/E = 59.5x (5Y avg N/A — listed Jun 2025) | P/B = 4.71x (BV Rs. 54.4) | ROCE = 10.3% (FY26) | ROE = 12.0% (FY26)